Outlook

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Follow-up: fairness review: risk signal or missing-data signal?

Hi team,

Model Risk is concerned that channel, document availability and data completeness may become proxies for customer groups rather than genuine risk.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2023 as the new evidence point rather than recycling the earlier conclusion. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Can you test these explanations rather than choosing one at the start?
- missing documents drive predictions
- performance gaps disappear after controlling for product and income
- branch and digital populations differ before modelling

The decision is which features need restriction, monitoring or clearer business justification. Please give us a one-page finding note plus the underlying CSV for our own review.

You should be able to build the evidence from monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments. Protected-attribute analysis must be governed and access-controlled; do not use ethnicity or gender for targeting or adverse treatment.

Thanks